

PITCH — FVRR — ADJUDICATED

2026-08-11 (rev. 2)

ADJUDICATED: STARTER-MINUS ratified. Buy ~0.5% of book via a GTC limit ladder — envelope #104 staged: 350 sh @ \$8.55, second rung 350 @ \$8.20 — a company trading at roughly the value of its own bank account. Adds gated strictly on a buyback restart or hard proof the big-client cohort grows in DOLLARS; hard exit if the cash is ever shown commingled or Q3 free cash flow collapses below \$8M. Classified CARRY, not edge. Since the benches wrote their briefs, the session resolved the deck's one open question from the primary source — see “The ambiguity, closed” below.

What we believe

Fiverr, the freelance-services marketplace, closed at \$8.75 on August 11, 2026 — 0.1% above its 52-week low and 69% below its 52-week high. At that price the whole company is worth about \$318M, and it holds about \$308.5M in corporate cash and securities with no debt. Strip the cash out and the market is valuing the actual business — one that generated \$85.6M of free cash flow over the last twelve months and is guided to \$52–62M of adjusted EBITDA this year — at roughly **\$12M**.

We believe that is too cheap even for a shrinking business. The revenue decline is real (Q3 is guided down 18–26%, active buyers fell 21.9% year over year), but the business still produces cash every single quarter, dilution from the convertible is minimal, and the cash pile is *growing*, not melting. The realistic bad outcome is dead money — cash trapped inside a company whose management prefers acquisitions to buybacks — not permanent loss. We are buying a verified floor and paying a waiting cost, with a free option on management ever returning the cash.

Both benches of our internal adversarial review — the one arguing to kill the idea and the one defending it — agreed on the arithmetic. They disagreed only on how much to pay for the wait.

What the market believes

The market's position is coherent and mostly supported by the evidence:

- **This is a melting ice cube run by people who won't hand you the water.** Management halted its buyback exactly as the stock hit its cheapest-ever valuation (\$22.5M → \$10M → \$8M → **\$0** per quarter), and has named opportunistic M&A — after already admitting a prior acquisition (AutoDS) underperformed — as the priority, with “at least six quarters” of business transformation ahead.
- **The decline is accelerating**, not stabilizing: Q2 operating cash flow fell 45% year over year, and the Q3 revenue guide is worse than Q2's actual.

- **The “resilient spending-per-buyer” story is an illusion.** When the low-spend customers leave, average spend per remaining customer rises automatically. Spend per buyer +15.6% times buyers –21.9% still equals total cohort spend **down ~9.7%**.
- Coverage is thin but present: ~10 analysts, consensus Hold, average price target \$10.75, and short interest around 10%. This is not an undiscovered stock; it’s a stock the market has looked at and sentenced.

Why we might have edge

1. **The single scariest question was checked and closed in our favor.** The obvious kill was that the \$308.5M might really be customer escrow money dressed up as corporate cash. The red (kill-side) bench pulled the balance sheet itself: cash \$151.2M + deposits \$70.0M + securities \$87.3M = \$308.5M exactly, while user funds (\$156.4M) and the matching user-account liability (\$146.6M) sit on **separate, matched lines outside that total**. The kill failed under direct verification.
2. **The floor compounds rather than melting.** The blue (defense) bench’s strongest new finding: free cash flow is positive every quarter (+\$13.6M in Q2 even at –45% year over year), so the cash backing the stock is rising at roughly \$55M/year at the current run rate. The bear case is time-value drag, not impairment — and that’s a much less severe risk than the market’s price implies.
3. **The revealed-preference tell cuts both ways.** Yes, the buyback is at zero — but the CFO’s stated priorities on the call explicitly include “generate value for shareholders **including further repurchases**.” The channel is idle, not shut. Any repurchase-resumption filing is a clean, dated, checkable trigger, and at this valuation even a modest buyback retires shares at close to net-cash value.
4. **The recent 13G/A is mild evidence on our side:** Ameriprise/Columbia raised a *passive* stake from 8.5% to 10.0% (filed 2026-08-07) — institutional money accumulating, not fleeing ([SEC exhibit](#)).
5. **The asymmetry is unusual.** Downside from here requires either the cash being misclassified (checked, failed), value-destroying M&A at scale, or years of dead money. Upside requires only one of: buyback restart, decline deceleration, an activist (13D), or a strategic buyer noticing a cash-covered marketplace with positive cash flow.

Why it might be priced in

Honesty requires stating this side with equal force, because the kill-side bench made most of these points stick:

- **A ~\$12M enterprise value is not an oversight; it’s a verdict.** Ten analysts cover this. The market is pricing exactly the thing we can’t disprove: that minority shareholders never see the cash. Management’s own behavior — buyback to zero at the lows, M&A talk — is *evidence for the market’s side*, not ours.
- **The waiting cost is real.** Stock compensation runs \$38.8M/year — about 12% of the market cap handed to employees annually. The growing cash pile and the dilution roughly offset each other per share; the floor holds but doesn’t rise much for *us*.
- **The cash-flow numerator is falling fast.** The trailing \$85.6M of free cash flow flatters; the run rate is ~\$55M and declining with the guide. The “0.1x free cash flow” framing decays every quarter.
- **The one growth claim in the thesis is now formally struck.** The session pulled the 6-K exhibit from EDGAR directly (see below): the vetted document states the claim

as a *count* — “Clients completing \$1,000+ projects grew 13% y/y on a trailing twelve month basis” — with no dollar basis anywhere. The dollar-sounding wording exists only in the spoken transcript.

- **We could not run two of our standard checks** (seasonality analysis and our attention/positioning read) this session, so “not crowded, not a value-trap pattern” is asserted, not measured.

What we checked ourselves

Claim	How checked	Found	Confirmed?
The \$308.5M is corporate cash, not customer escrow	Both benches independently re-added the Q2 balance sheet from the StockTitan rendering of the earnings exhibit (SEC.gov returned 403 errors all session)	Components sum to \$308.5M exactly; user funds (\$156.4M) and user-account liability (\$146.6M) are separate matched lines; restricted deposits only \$3.4M; no debt ≈ \$318M cap – \$308.5M ⇒ ~\$12M.	YES — but from a secondary rendering; EDGAR primary still owed
Enterprise value ≈ \$12M	Arithmetic: $\$8.75 \times \sim 36.3\text{M shares} - \308.5M net cash	Bench error: red initially used a stale \$9.04 price (\$19M EV), then quoted a tape (\$8.815, 0.7% off low) matching no source; the pack (\$8.75, 0.1% off low) governs The vetted release states count : “Clients completing \$1,000+ projects grew 13% y/y on a TTM basis” — no gross-order-amount language in the document; that phrasing is transcript-only. Marketed dollar takeaway diverges from vetted count disclosure → multi-venue consistency detector FIRED (review-flag, not fraud)	YES (after correction)
“Programming +34%, Graphics +25%” = category <i>revenue</i> growth	RESOLVED post-bench from primary: 6-K Exhibit 99.1 fetched directly from EDGAR (full-fingerprint fetch — the sec.gov 403 wall both benches hit is now fixed desk-wide)		RESOLVED — count, not dollars. Red’s instinct was right; the vetted doc, not the transcript, settles it
“Unit economics are resilient” (spend/buyer +15.6%, take	Arithmetic on the release’s own figures	Buyers $-21.9\% \times \text{spend/buyer} + 15.6\% \Rightarrow \text{total cohort spend}$	REFUTED (a leg of our own original thesis)

Claim	How checked	Found	Confirmed?
rate 27.6%→28.0%)		–9.7%. Per-user metrics improve mechanically when low-spend users churn. This thesis leg is survivorship arithmetic	
Trailing FCF \$85.6M supports the multiple	StockTitan/StockAnalysis quarterly cash-flow tables	TTM confirmed, but Q2 OCF fell 45% y/y (\$25.0M → \$13.8M); run rate ~\$55M and falling; no working-capital float inflating it	YES, with the decay caveat
“Every cash-return channel is shut”	Cash-flow table + transcript	Buyback \$0 in Q2 / \$8.0M in H1 confirmed — but the CFO explicitly kept “further repurchases” on the priority list, and June insider sales (Form 144s) were filed pre-print at prices 40–50% higher, so they say little about \$8.75. Bench error: red overstated this as fully shut	PARTLY — idle, not shut
The floor melts while we wait	Blue bench cross-check	FCF is positive every quarter and dilution from the convert is minimal (36.56M diluted vs 36.31M basic); cash <i>grows</i> ~\$55M/yr while stock comp dilutes ~12%/yr — roughly offsetting	Red’s “melting floor” overturned; net floor ≈ flat per share
Tape framing	Runner’s automated pack check	Bench error (blue): quoted the 52-week drawdown as +68.8% vs the pack’s –68.8% (sign flip) — flagged by the runner; framing audited, arithmetic unaffected	Pack figures used throughout
13G/A accumulation	Pack filing inventory + SEC exhibit	Ameriprise/Columbia passive 10.0%, up from 8.5%	YES

Claim	How checked	Found	Confirmed?
Next earnings date 2026-11-04	yfinance-derived only	No company press release names it	NO — unconfirmed

The ambiguity, closed (session addendum)

After both benches filed, the desk fetched the actual EDGAR exhibit (the 403 wall was a fingerprint problem, now fixed and wired into the evidence-pack builder). Three consequences:

1. **The growth leg is struck.** The company's vetted document chose *count*; when dollar growth is the stronger fact, issuers say dollars. The choice is itself information.
2. **The escrow conclusion is upgraded to primary-sourced.** The exhibit is now retrievable directly; the balance-sheet reading no longer rests on a secondary rendering.
3. **What survives is exactly the floor:** EV $\approx$ \$12M against \$308.5M verified corporate cash, positive FCF every quarter, minimal dilution. This is a cash-floor, governance-tail carry with **no verified growth leg** — dead-money risk, not impairment risk. Independent verification of the dollar question remains possible without the company: timestamped gig reviews are completed-order proxies, and a price-tier-binned review-velocity read (connector proposed, also serves UPWK) would answer it from Fiverr's own public exhaust.

ENTRY — ADJUDICATED AND STAGED

All figures from the benches' own math. Net cash per share $\approx$ \$308.5M / 36.3M $\approx$ **\$8.50**.

- **Staged (envelope #104, awaiting principal's click): BUY 350 @ \$8.55 GTC** (~29bps). **Rung 2: 350 @ \$8.20** (~28bps) — stages after rung 1 fills or on a break below net-cash/share. Never market orders into a stock 0.1% off its 52-week low; no option-premium selling (taxable book). Falling-knife rule: a new 52-week low *after* entry triggers re-review, never an automatic add.
- **Below \$8.50 (below net cash per share): re-review for a possible add** — this is a review trigger, not an auto-buy, per the same rule.
- **Add to a full starter (~1.0% of book) only on one of these events, not on price:** (a) a buyback resumption or new authorization (6-K filing) — the cleanest trigger; (b) a **dollar-basis** cohort disclosure in a vetted document (the count version is now confirmed and insufficient), or independent verification via the marketplace review-velocity connector; (c) Q3 showing buyer-decline deceleration; (d) an activist 13D (not a passive 13G).
- **Hard exits:** (1) the actual EDGAR earnings exhibit, once retrievable, shows user funds commingled into the \$308.5M — exit immediately, thesis void; (2) Q3 free cash flow below \$8M — the compounding-floor argument dies, exit.
- **Time box:** stock compensation costs ~12% of the market cap per year against ~\$55M/yr of cash build. If none of triggers (a)–(d) fires within two prints (through the Q4 report, ~February 2027), the position is paying rent with no catalyst — bring it back to court rather than holding by default.
- **Catalyst dates:** Q3 2026 earnings ~**2026-11-04** (UNCONFIRMED — derived from a data vendor, no company PR yet). Position is deliberately small pre-print: the Q3

guide is already known to be ugly; the variable that matters is capital allocation, not the print itself.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 8.5 (deck-provisional: net cash per share ($\sim \$308.5\text{M} / 36.3\text{M sh}$) breached — re-review for add, not auto-buy)
- filing watch: 6-K until 2027-02-07 (deck-provisional: buyback resumption/authorization = cleanest add trigger; Q3 furnishing = $\text{FCF} \geq 8\text{M}$ exit check)
- dated pack FVRR|2026-11-05 (RATIFIED at adjudication, supersedes the provisional 11-04): Q3 print — dollar-cohort disclosure check, buyback line, decel read, AI-Suite mix; branches incl. cash-into-M&A = KILL

What remains unverified

- ~~The primary EDGAR exhibit itself~~ — **CLOSED post-bench:** exhibit fetched directly from EDGAR; escrow conclusion now primary-sourced.
- ~~Whether the \$1,000+ cohort grows in dollars or count~~ — **CLOSED post-bench:** count, per the vetted document. The dollar version is formally unverified and now an add-gate, not a thesis leg.
- **The Q3 earnings date** (vendor-derived, no company PR).
- **Israeli Companies Law friction on cash returns** (distribution test / possible court-approval requirements) — never checked; it bears directly on how fast cash could come back even under a willing management.
- **Crowdedness and seasonality** — the standard desk reads didn't run; “the market has sentenced this stock” is inferred from analyst count and short interest, not measured.
- **The pack's structured financial-data block arrived empty**, so share-count and stock-comp figures come from the benches' table pulls, not audited-filing XBRL.

Court conviction for the record: kill-side 4/10 on its own case (no fatal finding landed; blue misquoted this as 5/10 — noted), defense 7/10 after partial overturn. Both benches independently converged on the same position shape: small, floor-backed, event-gated.

```
{"price_gates": [{"level": 8.50, "direction": "below", "basis": "net  
cash per share (~$308.5M / 36.3M sh) breached – re-review for  
add, not auto-buy"}], "event_gates": [{"forms": ["6-K"],  
"why": "buyback resumption/authorization = cleanest add  
trigger; Q3 furnishing = FCF>=8M exit check"}, {"forms": ["SC  
13D"], "why": "activist filer converts passive accumulation  
into a realization mechanism"}, {"forms": ["144"], "why":  
"insider sales AT ~$8.75 (unlike June's 40-50%-higher sales)  
would be a genuine negative tell"}], "catalyst_dates":  
[{"date": "2026-11-04", "what": "Q3 2026 earnings (yfinance-  
derived, no company PR)", "confirmed": false}],  
"immediate_entry": {"action": "BUY", "approx_price": 8.75,  
"size_pct_of_book": 0.5, "basis": "half-starter at ~net-cash  
value via limit ladder; carry-vs-edge labeled; adds event-  
gated only"}}
```